ALBAIK

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A. Overview of Operation Management in Your Industry (Yousef Alghamdi)

Albaik is a well-known fast-food restaurant chain in Saudi Arabia, famous for its broasted chicken and quick service. It operates in the fast-food industry, which focuses on providing quick, affordable, and consistent meals to a large number of customers.

Key Success Factors

✓ Consistent quality

✓ Strong supply chain control

✓ Excellent customer service

✓ Strategic expansion

✓ Ability to handle high demand

B. Case Study (Local Company) :

1. Operation Strategy: (Yazeed bin

The strategy for al Baik is to focus in huge crowds, cheap prices, and great food because they run their restaurants with a really smart, simple strategy focused on being consistent and fast.

Small Menu for Consistency:

They only sell a few main items (like chicken and shrimp). This keeps the kitchen simple, lets workers get very fast at those few items, and guarantees the quality and taste are the same every time.

Smart Buying for Low Prices:

Al Baik buys massive amounts of chicken to get huge discounts. They also use one main company (Aquat Food Industries) to prep all the secret spices centrally, which ensures good consistent taste while keeping costs down.

Built for Speed:

They design their restaurants to be like an assembly line, moving the customers through long lines quickly. The standardized process puts all the focus on speed and cleanliness so they can serve a ton of people without slowing down.

Al Baik wins with simple operations-small menu, smart bulk buying, and high-speed service-all combined to deliver maximum value to the customer.

2. Forecasting (Fahad Mishal Alotaibi,

Al Baik relies heavily on accurate forecasting to keep its operations running smoothly and efficiently. Because the company serves extremely large customer volumes every day, demand forecasting helps them determine how much chicken, shrimp, spices, and packaging materials they need in advance. This prevents shortages during peak hours and avoids excess inventory that could increase costs.

Al Baik mainly uses short-term forecasting based on historical sales data, seasonal patterns, and daily customer flow trends. For example, weekends, holiday seasons, and prayer-time rushes always show higher demand, so they prepare extra staff and additional food batches ahead of time. By analyzing these patterns, Al Baik can schedule employees more effectively, plan cooking cycles accurately, and ensure that fresh food is always ready without delays.

Accurate forecasting also supports their bulk-buying strategy. By knowing the expected demand months ahead, Al Baik can negotiate better prices with suppliers and secure stable delivery schedules. Overall, forecasting plays a major role in helping the company maintain fast service, consistent quality, and low operational costs.

3. Quality Management

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Quality management is one of the strongest pillars that Al Baik's success is built on. The corporation pursues strict, standardized procedures for the assurance that every single meal will taste the same and be safe to eat, besides being served fast. Principles of TQM

are applied in Al Baik through attention to continuous improvement, customers' satisfaction, and processes consistency.

Strict Food Safety Standards:

Al Baik uses centralized preparation facilities, like Aquat Food Industries, for pre-mixing of spices and preparing raw materials to ensure consistent taste while reducing the risk of contamination. Each step, from marination to frying, is strongly controlled regarding hygiene and temperature.

Standardized Cooking Procedures:

Employees in every branch cook the recipes in the same amount of time, with the same temperature for the oil. They have SOPs that maintain the quality at every location.

Employee Training:

The new staff undergoes an intensive training on food safety, customer service, and equipment handling. Continuous training ensures employees maintain the company's high-quality standards.

Customer Feedback and Continuous Improvement:

Al Baik values customer complaints and suggestions. Regular analysis of feedback is done to improve the speed of service, menu offering, and operation in its branches. It's this process that keeps the brand competitive. Overall, Al Baik's quality management ensures safe, reliable, and tasty food served in a clean and friendly environment, building strong customer loyalty.

4. Location Management

(Turki Mohammed

Albaik's location management strategy is key to its immense popularity and accessibility. Initially focusing on high-traffic areas in Jeddah and the Western region of Saudi Arabia, the chain carefully selected sites that are easily accessible to a wide customer base, including busy city centers, malls, and major roads.

The expansion strategy is often characterized as meticulous and gradual, prioritizing market penetration in new cities (like Riyadh and international locations) to ensure a strong, consistent brand experience. They strategically place restaurants in prominent

locations that become social hubs, enhancing convenience. Furthermore, they utilize locations to support both dine-in and increasingly, delivery services, leveraging technology to find the nearest restaurant for efficient order fulfillment. The high volume of branches, particularly in major cities, is a testament to this aggressive, yet well-thought-out, location strategy.

5. Inventory Management: (Nawaf alanzi ,

Al Baik's approach to inventory management is designed to handle high speed and high volume without wasting food. Since they focus heavily on fresh chicken rather than frozen, long-life products, they cannot simply store massive amounts of inventory in the back of the restaurant.

The "Just-In-Time" Strategy To manage this, Al Baik operates using a "Just-In-Time" (JIT) system. Instead of filling up their storage rooms with weeks' worth of supplies, ingredients are delivered to the branches frequently in smaller batches. This strategy is highly effective for two reasons: it significantly cuts down on the costs associated with storage space, and it prevents excess inventory from sitting around long enough to reach its expiry date.

Centralized Control via Aquat A key part of their inventory success is their reliance on their sister company, Aquat Food Industries. Instead of every branch trying to manage raw spices and complex sourcing, Aquat acts as the central hub. They handle the bulk preparation and "secret spice" mixing centrally. This means the individual restaurant branches only have to manage the inventory they need for the immediate future, which keeps the in-store operations simple and efficient.

Link to Forecasting This inventory system works hand-in-hand with the forecasting mentioned earlier. By using historical data to predict exactly when the "rush hours" will occur , Al Baik ensures that these frequent JIT deliveries arrive exactly when needed, preventing shortages during peak times.

6. Supply Chain Managemen (Fahad alshehri

Supply Chain Management in AlBaik

Introduction SCM represents an essential process in the areas of business and industry, as it seeks to promote better functioning within organizations, as well as assure their

profitability. The forecasted market growth for SCM over the next year could likely enable this segment to capture at least one-quarter of the market share in enterprise applications.

Supply Chain Management plays a significant role in the performance of AlBaik due to the fact that the fast-food industry relies on quick service, and product quality has to be consistent with unfailing ingredient sourcing. The company operates in one of the most fast-growing foodservice markets in Saudi Arabia, estimated at 113.0 SAR billion in 2025 and expected to reach 167.5 SAR billion by 2030, with companies like AlBaik needing to enhance supply chain efficiency toward meeting continuous demand.

The QSR segment alone is estimated at 38.8 SAR billion in 2025 and forecasted to reach 14.19 SAR billion by 2030, underlining the strong need for advanced logistics, quality systems, and faster customer service.

Sourcing Strategy at AlBaik – “Few Suppliers” Approach

AlBaik depends on a small number of trusted and certified suppliers, with consistent ingredient quality, reliable delivery, and a taste at all branches that is always the same. Working closely with fewer suppliers could help such a company maintain its quality standards, gain better coordination, have stronger supplier relationships, and more predictable costs.

Make-and-Buy Decisions – Production Control

AlBaik buys chicken, oil, spices, and packaging materials from external suppliers. The restaurant does all the food preparation and cooking internally. That way, AlBaik can control hygiene, protect the secrecy of recipes, and make sure the product quality is the same, which will have a direct influence on customer satisfaction and brand loyalty.

Logistics & Cold-Chain Transportation

The company uses temperature-controlled transportation whenever poultry, seafood, and other perishables are being moved to any branch. Maintaining proper cold-chain logistics

preserves freshness in ingredients, prevents bacterial growth, and reduces waste. This helps promote efficient distribution to meet high daily demand and rapid restocking in busy stores.

Inventory Management: JIT-Style Freshness System

AlBaik operates under a sort of JIT system; ingredients are delivered rather frequently in smaller amounts. This cuts down the expenses for storage, prevents cases of excess inventory from reaching their expiry dates, and guarantees that meals are prepared only from the freshest products. Besides, it enhances cost efficiency and food safety.

: Enhancing Speed & Reducing Waste

AlBaik applies Lean principles to make its operations quicker and more efficient. Organizing the workflow in the kitchen by the elimination of unnecessary steps, minimizing food waste, and optimizing personnel scheduling in peak periods are the ways to ensure customers receive fast service even during rush hours.

Risk Management: Preventing Supply Disruptions Evaluation of suppliers regularly, as well as a list of alternative suppliers in case of an emergency, will avoid problems such as delays, shortages, or poor-quality ingredients. Quality inspection procedures during receiving and storage enable this company to ensure safe, reliable operations while protecting its reputation.

C. Recommendation: (Yazeed bin

Based on our analysis of Albaik's operations, we propose three strategic improvements to sustain growth.

First, to mitigate the challenge of "huge crowds," Albaik should optimize its digital ecosystem by expanding self-ordering kiosks and app-based assembly integration. This will reduce friction at the point of sale and streamline the assembly line.

Second, regarding Supply Chain Management, while the current "Few Suppliers" strategy ensures consistency, diversifying sources for non-critical inventory is essential to enhance resilience against external disruptions.

Finally, to support "Strategic Expansion" into international markets without compromising "Consistent Quality," Albaik should establish regional centralized preparation hubs. These hubs will support cold-chain logistics, ensuring the brand's signature quality is maintained as it scales globally.

D. References: (Yazeed bin

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